Bajaj Finance Ltd (BAJFINANCE)

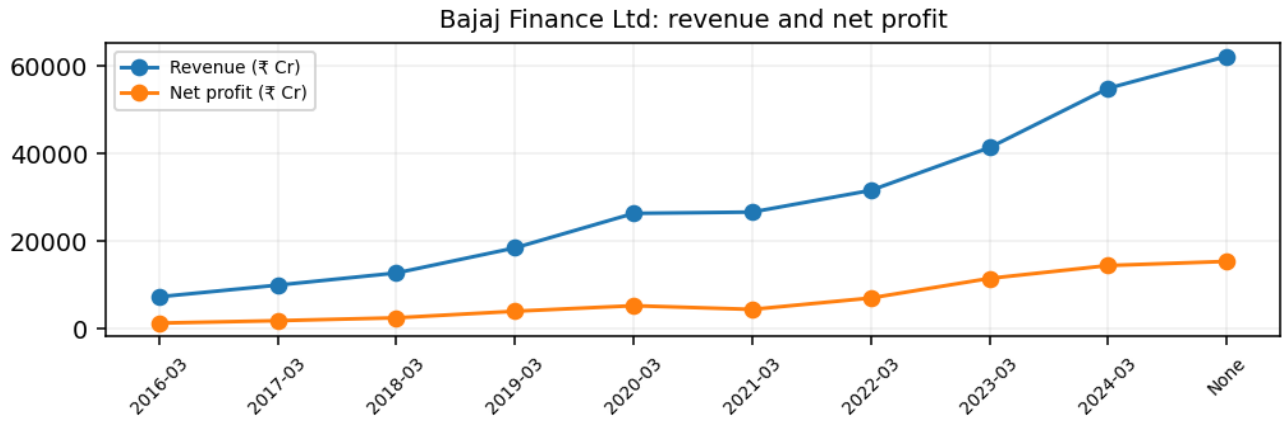
Sector: Financials | Financial year: 2024-03 | Market snapshot: 2024-03

Investment profile — data-led summary

Bajaj Finance is mainly engaged in the business of lending. BFL has a diversified lending portfolio across retail, SME and commercial customers with a significant presence in urban and rural India. It also accepts public and corporate deposits and offers variety of financial services products to its customers.

Metric	Latest value	Metric	Latest value
ROE	18.84%	ROCE	4.17%
Debt/equity	3.82	Free cash flow (■ Cr)	-79,931.00
P/E	69.20	P/B	4.11
Market cap (■ Cr)	2,473,271.58	Dividend yield	0.27%

Revenue and earnings history (up to 10 supplied annual observations)



All figures reflect the supplied source dataset. This report is informational and is not a recommendation to buy or sell securities.

Bajaj Finance Ltd — Financial Quality & Risk Review

Strength indicators

Rule	Evidence	Confidence
Interest coverage >= 3x	Reported interest coverage indicates capacity to meet finance costs.	95%
Positive operating margin	The latest annual period reports a positive operating margin.	95%
PAT CAGR 5Y >= 10%	Profit has compounded at least 10% annually over five years in the available statement history.	95%
Revenue CAGR 5Y >= 10%	Revenue has compounded at least 10% annually over five years in the available statement history.	94%

Risk indicators

Rule	Evidence	Confidence
Negative free cash flow	The latest annual period reports negative free cash flow.	95%
FCF conversion < 0	Free-cash-flow conversion is negative in the latest annual ratio record.	95%
CFO/PAT < 0.5	Operating cash flow is weak relative to reported profit.	75%
ROCE below 8%	Return on capital is below 8% in the latest annual ratio record.	74%

Selected annual financial history

Year	Sales (■ Cr)	Net profit (■ Cr)	EPS	OPM %
2019-03	18487	3995	69.00	6,310.00
2020-03	26374	5264	87.00	7,608.00
2021-03	26673	4420	73.00	6,314.00
2022-03	31641	7028	116.00	9,906.00
2023-03	41411	11508	190.00	16,018.00
2024-03	54972	14451	233.00	19,987.00
None	62279	15389	248.00	21,417.00